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Shenzhen Inovance Technology Co. Ltd - A

July IA order >30% Y/Y + MIR 2Q26 market share gains; 2Q26 preview points to IA-led rebound

Inovance's July IA orders stayed >30% Y/Y despite a higher base, extending the strong YTD order flow that has tracked ahead of expectations and keeping the IA upcycle narrative intact across key end markets (lithium battery, electronics, general machinery). Importantly, the demand momentum is now showing up alongside tangible competitive progress: MIR databank's latest market review for 2Q26 points to record-high market presence across Inovance's focused IA categories, with broad-based share gains that reinforce the "domestic substitution + platform scale" angle rather than a single-product cycle. With an easier 2Q26 comp base and easing supply bottlenecks in higher-control products, we see a credible path for IA sales to accelerate to ~40% Y/Y in 2Q26 and for margins to start recovering sequentially as mix and pricing improve, which sets up 2Q26 as an execution-sensitive inflection point rather than just another "good order" datapoint.

The stock is down ~15% YTD vs. CSI300 -4%, which we think reflects investor sentiment shifting from "cycle leverage + share gains" to "earnings reliability" after two consecutive headline disappointments in 4Q25 and 1Q26 that triggered downward revisions and elevated focus on segment volatility (notably EV-related drag and potential one-offs). Against this backdrop, a clean 2Q26 delivery on revenue, profit, and underlying margin progression could re-anchor confidence, while another miss—whether from one-off swings or continued EV dilution—likely risks another setback given the market's lower tolerance for noise. Maintain OW.

- **2Q26 market share data adds substance to the IA upcycle, and the mix looks supportive for margin quality.**

MIR databank's latest market review for 2Q26 shows Inovance reaching record-high presence across all focused IA product categories, with the clearest step-up in higher-control lines that typically anchor customer ecosystems and drive better mix. In 2Q26, AC servo share rose to 37% (+3ppt Y/Y) for the first time, while low-voltage inverter increased to 21% (+2ppt Y/Y), small-sized PLC to 15% (+4ppt Y/Y), and large-sized PLC to 7% (+3ppt Y/Y); industrial robot share also expanded to 9% (+1ppt Y/Y). Growth leadership also skewed to control products (small PLC +60% Y/Y; large PLC +84% Y/Y; AC servo +35% Y/Y), which matters because these categories tend to carry stronger differentiation and pull-through into broader automation bundles. Management: linked prior 1Q26 constraints to control-level supply bottlenecks that are now easing, which—if sustained—supports both volume conversion and a structurally more margin-accretive mix rather than purely price-led expansion.

- **July IA orders reinforce breadth, but conversion into 2Q26 revenue and margin is now the decisive test.** July IA orders sustained >30% Y/Y growth, broadly consistent with the 30–40% Y/Y monthly pace seen through 2Q26 to

Overweight

300124.SZ, 300124.CH

Price (03 Aug 26): Rmb64.11

Price Target (Jun-27): Rmb84.00

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date, and management flagged strength across lithium battery, electronics (smartphone/semicon), and general machinery, indicating the upcycle is not narrowly concentrated. The market's debate has shifted from "is demand real?" to "does it show up cleanly in the P&L," particularly after two quarters where execution/volatility dominated the narrative. We focus on conversion (shipment cadence, acceptance timing, and commissioning progress) and whether the order mix continues to skew toward higher-control content (servo/PLC/robotics), because that mix can amplify operating leverage if supply friction continues to ease rather than migrating to other components. A solid conversion profile would tighten the link between leading indicators (orders) and reported earnings, which is the missing bridge the stock needs.

- **Pricing actions are a key swing factor for 2H26 margins, but investors will demand realized improvement in reported IA GPM.** Inovance has implemented multiple price hikes YTD across a widening set of products (including robots, linear motion components, PLC/HMI PLC, and low-voltage inverters), which sets up a plausible margin recovery path beginning in 2Q26 and becoming clearer into 2H26 as contracts re-price and backlog rolls through. The investor skepticism is straightforward: "price hikes announced" do not always translate into "net realized price" once competitive bidding, promotions, and customer-specific concessions are netted out, particularly in categories where domestic peers remain aggressive. We therefore anchor on proof points in the print: IA segment gross margin progression (not just consolidated), and clarity on net price realization versus list price, including whether any benefit is being offset by mix (more competitive accounts) or by elevated provisions. A clean step-up would help shift the debate back towards structural pricing power rather than one-off quarter-to-quarter noise.
- **2Q26 preview looks deliverable on paper, but headline cleanliness matters more than ever after two misses.** We forecast c.20% Y/Y sales growth and c.10% profit growth in 2Q26E, led by IA at ~40% Y/Y on sustained strong order momentum and easing supply constraints, with elevator trending stable and NEV staying muted at single-digit growth. On margins, we model modest Q/Q consolidated GPM improvement to ~30% vs. 29% in 1Q26, driven mainly by mix and early pricing benefit. The key is the quality of earnings: the market is likely to discount a "beat" driven by non-recurring items and punish a "miss" even if framed as transitory, because both outcomes re-open the debate around earnings repeatability. We will therefore isolate underlying operating performance by adjusting for major one-offs (e.g., prior Rmb2-300mm gains) and assess whether core IA + elevator profit growth is tracking closer to ~35% Y/Y on an implied basis, which would validate that the engine of the story remains intact.
- **NEV remains the primary downside risk, because mix-driven dilution can overwhelm IA strength even in an upcycle.** NEV powertrain and motor categories remain among the most competitive auto-parts pockets, with fast-moving customer/product mix and limited ability to pass through cost inflation relative to IA. The 1Q26 profit softness highlighted how quickly NEV dilution can drag consolidated profitability even when IA is strong, and this is exactly why investors have become more sensitive to "headline delivery" rather than narrative strength. Management targets sequential GPM recovery in 2Q26 via pricing re-negotiation, but we stay conservative until we see realized progress in reported margins and evidence the customer mix is stabilizing. The swing risk is that even modest underperformance in NEV profitability—through pricing pressure, ramp inefficiencies, or adverse mix—can offset IA upside and recreate the miss risk the market has been penalizing.
- **The catalyst is results credibility, and the risk is another expectation reset if execution wobbles again.** The bull case is straightforward: strong 2Q26 execution that converts IA orders into revenue, demonstrates tangible IA margin recovery, and contains NEV dilution should improve sentiment and re-establish confidence in forward numbers, especially with expectations already tempered by revisions. The bear case is equally

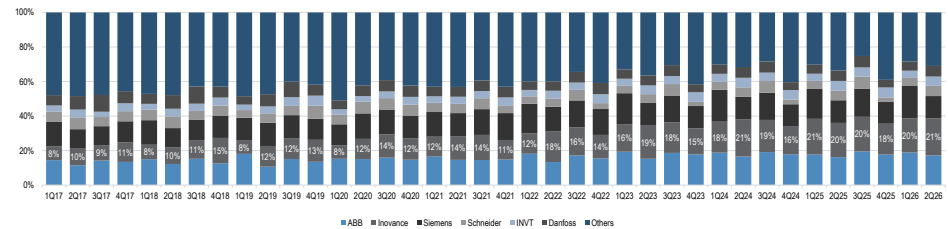
clear: another miss—whether driven by shipment timing, pricing leakage, cost absorption, or EV drag—likely triggers renewed de-rating given the market’s lower tolerance for volatility after two consecutive disappointments. We frame the setup as high operating leverage to good execution, with asymmetric downside if the print adds fresh uncertainty. A clean delivery could pull investor focus back to structural share gains and pricing power, which remains the core underpinning of our constructive stance.

Table 1: Price hike announcements

Product Line	Key Series/Examples	Price Hike
Effective from Jan 10, 2026		
Medium PLC	AC700, AC800, AM700	20.0%
Small PLC	Easy300, Easy500, H3U, H3S, H5U	8.0%
HMI	IT7000, ITS7000, ITU7000	+7% to +12%
CNC Controllers	MTC300, MTC800	8.0%
Motion Control Cards	IMC30G, IMC60G	8.0%
PAC Digital Controllers	AI800, AI900	+10% to +20%
IoT Gateway	WL4G	5.0%
Servo/Direct Drive Motors	MST, MP, MC, MT, LMA, LMB, LMC, LMS, LMT	10.0%
General Motion Control System	All series	6.0%
Industrial Motors (all types)	All series	12.0%
Textile Control System	TWJ3, TAJ3 series	5.0%
Effective from Mar 01, 2026		
Ball screw	All series	5-10%
Linear guide	All series	5-10%
Electric cylinder	All series	10-15%
SCARA and six-axis robotics	All series	5-15%
Effective from April 27, 2026		
Low-voltage inverter	MD200, MD290, MD880, MD310, MD480, MD5X, MD8X, industry-specific AC drive	5-10%
Small and mid size PLC	All series	5-10%
HMI	IT7000, ITS7000	3-5%

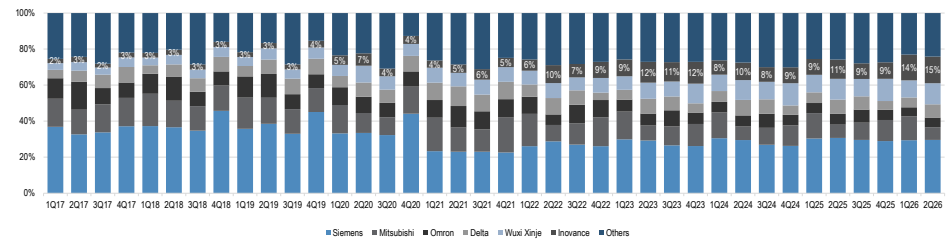
Source: Company report

Figure 1: Low voltage inverter market landscape



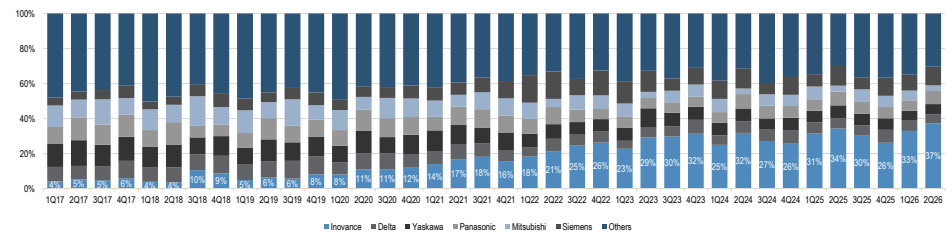
Source: MIR databank

Figure 2: Small sized PLC market landscape



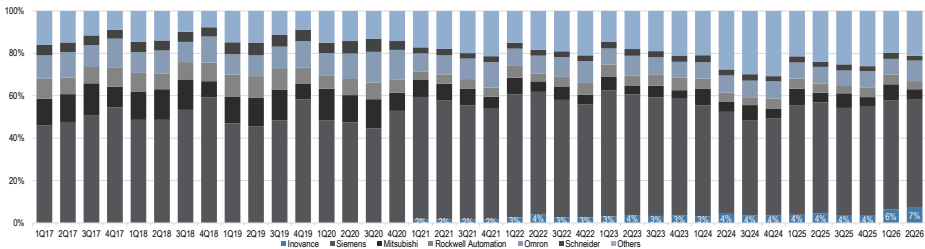
Source: MIR databank

Figure 3: AC servo market landscape



Source: MIR databank

Figure 4: Large sized PLC market landscape



Source: MIR databank

Investment Thesis, Valuation and Risks

Shenzhen Inovance Technology Co. Ltd - A *(Overweight; Price Target: Rmb84.00)*

Investment Thesis

We rate Shenzhen Inovance OW, given its superior supply chain management and product development capabilities, which position it to capture China's ongoing factory automation and industrial upgrade. Inovance's consistent track record of returns and robust Op-CF generation stand out among peers, providing comfort for investors amid rising macro headwinds. Beyond its core strengths in FA, Inovance is also actively investing in new growth drivers—including humanoid robots, energy storage systems (ESS), and digital/AI platforms—which are set to support the next phase of expansion and margin resilience. We believe Inovance is distinctively positioned to benefit from the ongoing upcycle in China's FA sector, with its ability to deliver innovation, scale, and execution making it the best play for investors seeking exposure to this structural transformation.

Valuation

Our DCF-based Jun-27 PT of Rmb84 is based on terminal growth of 3% and a WACC of 8%, calculated based on the following assumptions: cost of equity at 9.0% (based on $R_f = 2.2\%$ [aligned with the latest China 10-year bond yield], an equity risk premium of 6.8% and a beta of 1.0 x), cost of debt at ~4% and target debt-to-capital of 20%. Our PT translates into a target PEG of c1.5x against our projected 23% earnings growth over FY25-28E.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) worse-than-expected IA segment growth; 2) smaller-than-expected market-share gains from Japanese and European/US brands; 3) worse-than-expected GPM due to fiercer pricing competition across IA, elevator and NEV businesses; 4) larger-than-expected impact from tariffs; and 5) fiercer market competition in the NEV PV controller business.

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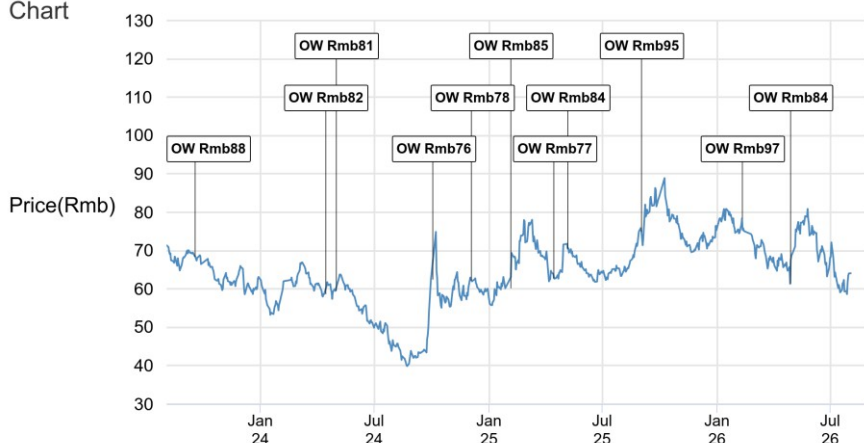
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Shenzhen Inovance Technology Co. Ltd - A (300124.SZ, 300124 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
20-Sep-23	OW	68.40	88
15-Apr-24	OW	58.63	82
02-May-24	OW	59.50	81
04-Oct-24	OW	62.45	76
05-Dec-24	OW	62.24	78
05-Feb-25	OW	60.19	85
16-Apr-25	OW	62.79	77
08-May-25	OW	70.48	84
03-Sep-25	OW	74.90	95
11-Feb-26	OW	78.37	97
29-Apr-26	OW	61.36	84

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 18, 2017. All share prices are as of market close on the previous business day.

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